Savvy

PORTFOLIO PERSPECTIVES · NOVEMBER 2026

Broader, not weaker

Market views and portfolio insights from the Savvy Wealth Investment Management (SWIM) team



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Savvy

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Find the answer

Q

Did SWIM make any positioning changes this month?

No. Positioning is unchanged this month.

Positioning · Page 10 →

Q

What is SWIM's cross-asset positioning?

-  **Equities**
-  **Fixed Income**
-  **Alternatives**

Positioning · Page 10 →

Q

What does SWIM think of the macro environment, why, and what is the outlook?

Our view is unchanged and the book carries forward. The equal-weighted S&P 500, where every company counts the same, rose 5.0%, while the Nasdaq 100 fell 6.7% and semiconductor stocks fell 15.4%.

Macro thoughts · Page 6 →

Q

What are the risks to the SWIM view?

- Tighter credit slows growth or AI spending
- Earnings estimates roll over
- Yields rebound with the Fed
- Political uncertainty delays business spending

Risks · Page 11 →

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Executive snapshot

October's index return hid a change in who was leading

Large technology and semiconductor stocks, the market's leaders for most of the year, sold off hard. Utilities moved the other way and rose 10.2% as Treasury yields fell.

Verdict

- Our view is unchanged and the book carries forward.
- The equal-weighted S&P 500, where every company counts the same, rose 5.0%, while the Nasdaq 100 fell 6.7% and semiconductor stocks fell 15.4%.
- Third-quarter growth came in at 3.4% in the advance estimate, the October manufacturing survey read 55.5, and about 82% of the 265 companies that had reported third-quarter earnings by October 29 beat expectations.

Core driver

- For the fourth quarter, analysts expect the other 493 companies to grow earnings 31.6% against 27.4% for the seven largest, which would be the first quarter since 2022 that the rest of the index out-grows the leaders.
- Bonds rallied, and investment-grade corporate bonds returned 2.5%, so holding fewer bonds than a standard 60/40 cost us.
- The 10-year Treasury yield fell from 5.3% to 4.9% in October, and almost all of the move came from real yields, the return investors demand after inflation, which fell from 2.9% to 2.6%.

Portfolio stance

- Equities: Earnings, not October's price moves, set the overweight.
- Fixed Income: We hold fewer bonds than a standard 60/40 and keep duration modestly short.
- Alternatives: Real assets hedge energy-driven inflation and fiscal risk.

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Core driver

October's index return hid a change in who was leading. Large technology and semiconductor stocks, the market's leaders for most of the year, sold off hard. The Nasdaq 100 fell 6.7%, semiconductors fell 15.4% and emerging markets, which carry a large weight in chipmakers, fell 8.0%. Utilities moved the other way and rose 10.2% as Treasury yields fell. Small caps rose 0.6%. The equal-weighted S&P 500 beat the cap-weighted index by almost six percentage points in a single month.

The honest question is whether earnings are broadening too, and so far that is a forecast, not a fact. Over the past year the seven largest stocks grew earnings 12.4 percentage points faster than the rest of the index. For the fourth quarter, analysts expect the other 493 companies to grow earnings 31.6% against 27.4% for the seven largest, which would be the first quarter since 2022 that the rest of the index out-grows the leaders. The same estimates put the seven back in front in early 2027. October priced a handoff in leadership ahead of any proof of one in reported profits. We read the rotation as a market spreading out its bets, not a verdict that the leaders' earnings are failing. The coming quarters are the test, and estimate revisions are how we will judge it.

We would rather say plainly how the stance did. The high-yield underweight helped as spreads widened, with our high-yield fund up 0.4% against 2.2% for our core bond fund. The utilities overweight helped, with our utilities and power holding up 4.1% while the S&P 500 fell 0.9%. Commodities were about flat. Oil's 15% gain was offset by falls in gold and copper, so our broad commodity fund slipped 0.5%. Against that, the technology overweight hurt, with our technology sector fund down 8.3%. The emerging markets overweight hurt, with our two emerging-market funds down 6.4% and 8.5%. Our gold holding fell 6.6%. Bonds rallied, and investment-grade corporate bonds returned 2.5%, so holding fewer bonds than a standard 60/40 cost us. On balance October did not pay the stance. We hold it because the reasons for it are intact, and one month of price is not a reason.

Here is what that means for each part of the book.

Equities. We stay slightly overweight, with US large caps as the core and overweights in technology and utilities. Earnings, not October's price action, set those views. Analysts have raised forward estimates by 5.8% on average over the past three months, and that is the gauge that would tell us to change the technology view. Small caps and international developed stocks stay neutral. We stay modestly overweight emerging markets.

Fixed income. We stay underweight, with high yield the deepest underweight, and we keep duration modestly short. The 10-year Treasury yield fell from 5.3% to 4.9% in October, and almost all of the move came from real yields, the return investors demand after inflation, which fell from 2.9% to 2.6%. With inflation above target, futures pricing a December hike as likely and about one more by mid-2027, we are not extending duration into that rally.

Real assets. We keep both legs of the sleeve. Commodities are the hedge against energy-driven inflation. They were about flat in October, as oil's gain was offset by weaker metals. Gold is the hedge against fiscal risk, and it gave back 6.2% in a month when real yields fell, which is not what the usual relationship would predict. We accept that the two legs will not always move together.

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Macro thoughts

Growth: above trend on output, soft on hiring

Growth has not slowed in any way that matters. The Bureau of Economic Analysis put third-quarter growth at 3.4% in its advance estimate, the Atlanta Fed's current-quarter nowcast is 3.2%, and the Weekly Economic Index has averaged 2.8% this year against a trend near 2%. The October manufacturing survey read 55.5, well into expansion.

The soft spot is hiring. Payrolls rose only 29,000 in September and the unemployment rate is 4.2%, still low. With labor-force growth much slower, estimates of the breakeven pace, the job growth needed to hold unemployment steady, have fallen to roughly 25,000 to 50,000 a month, so it takes few new jobs to keep unemployment flat or falling. Our read is that slow hiring without layoffs fits an economy growing on output per worker rather than headcount, though one month cannot settle that. We will judge it through the October jobs report on November 6, jobless claims and earnings revisions together, not any single print.

Inflation: headline rising with oil, the Fed's gauge above target

Headline CPI was 3.7% in September, and the nowcasts put it at 3.7% for October and 4.3% for November as oil rose. Core PCE, the gauge the Fed acts on, was 3.1% in September and is nowcast at 3.2% and then 3.3%. Both sit well above the 2% target.

Markets are not pricing an inflation scare. The 10-year breakeven, the market's estimate of future inflation, barely moved in October, slipping by 0.03 percentage points to about 2.3%. The open question is whether energy reaches core prices. If it does, the Fed has less room to ease and our case for keeping duration short gets stronger.

Financial conditions and the Fed: rates eased, credit widened

The Fed raised rates by a quarter point on September 16 and held at 3.75 to 4.00 percent on October 28, with two voters dissenting in favor of another hike. That is a Fed that has paused but has not changed its view of the direction. Futures price a December hike as likely, about three chances in four, and about one more by mid-2027, for 2.16 quarter-point hikes in total through December 2027. That is down from 3.60 a month ago, and that pullback is what let real yields fall.

Credit moved the other way. High-yield spreads widened from 311 to 340 basis points in October and investment-grade spreads from 80 to 90. The Chicago Fed financial conditions index moved from -0.55 to -0.49 and the St. Louis Fed stress index from -0.81 to -0.58. All four moved in the direction we flagged, and both broad gauges still sit well on the easy side of their histories. That is a warning, not a confirmation.

Earnings and valuation: strong, still concentrated, priced a little more fairly

Earnings are the reason we hold the overweight. Trailing earnings growth for the S&P 500 is 25.5% and analysts expect 22.9% over the next year. Estimates have been revised up by 5.8% over three months, and about 82% of the 265 companies that had reported third-quarter results by October 29 beat expectations. Net profit margins are 15.6%, at the top of their history, so margins have little room left to add to growth.

The rotation has not yet shown up in reported profits. The seven largest stocks are still growing earnings 12.4 percentage points faster than the rest of the index, and the fourth quarter is the first in which analysts expect the rest to grow faster since 2022. Valuation eased with October's pullback. The forward P/E is 18.65, from 19.08, and the equity risk premium, what owning stocks pays over a 10-year Treasury, is back above zero at 0.46 percentage points.

Geopolitics: Hormuz traffic is low, but oil is getting through

Strait of Hormuz transits are running at 3.9% of their normal pace, and prediction markets put the odds that traffic returns to normal within 12 months at about 44%. The transit count is a less useful gauge than it was, because oil is still reaching buyers. US crude oil rose from $90.42 to $104.12 a barrel in October, a 15% gain, and settled above $100.

In our experience, geopolitical shocks have tended to be buying opportunities unless they reach credit or earnings. Higher oil prices are

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the route by which this one could still reach both, through inflation and borrowing costs, but with supply getting through we see that as a smaller risk than it was. We keep the commodity tilt as the hedge and watch credit most closely.

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The Savvy Macro Dashboard

Summary

Headwind Tailwind

Category	Signal	Portfolio Signal
Growth		Above trend and still strong, so we keep the equity overweight
Inflation		Core PCE, the Fed's anchor, sits above target and is nowcast higher, so we keep duration short
Financial conditions		Rates eased but credit spreads widened, so we watch the broad gauges for confirmation
Fundamentals		Earnings are strong and revisions are rising, so the overweight rests on profits rather than price
Geopolitics		Oil is getting through despite low Hormuz traffic, so we keep the broad commodity hedge as insurance

Data

Indicator	Current	Portfolio Signal
Growth		
Weekly Economic Index	**2.8%**	The New York Fed's weekly read of the economy, scaled like GDP growth. It has averaged 2.8% so far this year, above trend, which is why we keep the equity overweight
GDPNow (current quarter)	**3.2%**	The Atlanta Fed's running estimate of this quarter's growth. Still above trend, so October's rotation was not a growth scare and we do not cut equities
Unemployment rate	**4.2%**	Low at the 23rd pctile since 1948. Slow hiring has not become job losses, so the earnings base behind the overweight holds. A sustained rise is what would make us revisit it
Inflation		
Core PCE (Fed's anchor)	**Sep 3.1%** *Oct 3.2%* *Nov 3.3%*	The Fed's preferred inflation gauge. Above target and nowcast higher, so we keep duration short and hold fewer bonds than a standard 60/40
Financial conditions		
Chicago Fed NFCI	**-0.49**	A broad gauge of how easily credit flows. Still loose at the 41st pctile since 1971, so wider credit spreads have not tightened conditions enough for us to cut risk
Financial Stress Index	**-0.58**	The St. Louis Fed's gauge of market strain across rates, spreads and volatility. Calm at the 23rd pctile since 1993, so we hold the equity overweight rather than de-risk
Fed hikes/cuts thru Dec 2027	**2.16 hikes**	A December hike is mostly priced, with fewer hikes after it than a month ago. That eased real yields, but not enough for us to extend duration
Fundamentals		
S&P 500 forward P/E	**18.65x**	Price paid for next year's earnings. At the 28th pctile of the last five years, so the multiple is not what is stretched, and earnings rather than valuation carry the overweight
Equity risk premium	**0.46pp**	The extra yield stocks offer over Treasuries. Thin but positive again, so valuation argues for care in sizing, not for selling
S&P 500 revision breadth	**0.2**	Our count of companies with estimates raised minus those cut: +0.20 at October 30, down from +0.26. Still positive, so profits back the overweight. A turn below zero is the signal we watch
Geopolitics		
Hormuz normalized within 12m	**44%**	Kalshi prediction-market odds that Strait of Hormuz traffic is back to normal in the next year. A little under even, so we keep the commodity hedge without making it a central bet

Please see Sources for details. Data as of 2026-11-03. Signals as of 2026-10-30.

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Question of the month

QUESTION:

If AI stocks sold off, why are you still overweight technology?

Because earnings revisions, not price, set the overweight. Our technology fund fell 8.3% in October and semiconductors fell 15.4%, and we felt it. But analysts are still raising estimates, by 5.8% on average over the past three months, and about 82% of the 265 companies that had reported third-quarter results by October 29 beat expectations. A price drawdown with rising estimates makes the same earnings cheaper. What would change the view is estimates turning down, not a bad month. We also hold technology inside a broad large-cap core, alongside a utilities and power holding that rose 4.1% in the same month, so the book is not a single bet on the leaders.

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Positioning

No changes to positioning this month.

Underweight Overweight

Asset / Class	Positioning	Rationale
Equities		**Earnings, not October's price moves, set the overweight. US large caps stay the core, and we hold through a rotation that has not yet changed the earnings picture.**
US Large		Earnings are durable and broadening. We hold the overweight through market breadth, not just the largest few names.
US Small		The most rate-sensitive corner of equities; a 10-year yield near 5.0% argues against the cyclical case.
Intl DM		No clear growth, valuation or currency edge; not paid to tilt.
EM		Cheaper than developed markets with real diversification value; a slight tilt.
Fixed Income		**We hold fewer bonds than a standard 60/40 and keep duration modestly short. We are not extending while inflation sits above target and the Fed may still hike.**
IG Credit		Quality carry worth owning for income. At 90bp, spreads still leave little upside.
Developed Gov't Bonds		Own for ballast and carry. A tougher inflation standard says do not extend.
High Yield		Spreads widened to 340bp in October, still too little to pay for late-cycle credit risk.
Alternatives		**Real assets hedge energy-driven inflation and fiscal risk. We hold a broad commodity basket and gold, and accept that the two legs will not always move together.**
Gold		Record central-bank reserve demand and fiscal-credibility risk support gold; capped by the hikes already priced.
Broad Commodities		A broad basket tracks inflation plus a small premium, a cleaner hedge than TIPS if rates keep grinding higher.

SECTOR VIEWS		
Technology		The AI investment cycle still drives earnings leadership; this is where we accept concentration. Held through the market, not one slice.
Utilities		Structural power demand from AI and electrification underpins the overweight. We carry its rate sensitivity knowingly.

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Risks we're watching

1. Tighter credit slows growth or AI spending

High-yield spreads widened from 311 to 340 basis points in October and investment-grade spreads from 80 to 90. If the broad financial-conditions gauges follow, tighter credit could slow hiring, growth and the borrowing behind AI investment. We would then reduce equity risk, upgrade quality, extend duration and take the commodity tilt to neutral, together. This is the risk that matters most to us.

2. Earnings estimates roll over

Analysts have raised forward estimates by 5.8% over three months, but the margin of companies seeing estimates raised over cut has narrowed, from +0.26 to +0.20 in the month to October 30. The seven largest stocks are still growing earnings 12.4 percentage points faster than the rest. If revisions turn negative, or growth narrows further onto a few names, the case for the equity overweight weakens. Estimate revisions are the signal we watch.

3. Yields rebound with the Fed

Futures price a December hike as likely and 2.16 quarter-point hikes in total through December 2027. A rebound in the 10-year real yield from 2.6% would reverse October's relief and squeeze the equity risk premium, now only 0.46 percentage points. Our short duration is the hedge.

4. Political uncertainty delays business spending

The midterm elections are on November 3. A contested result or a long fight over policy could lead companies to hold back on hiring and investment, just as hiring is already soft. We would judge it through business surveys, capital-spending guidance on earnings calls and jobless claims.

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Closing thoughts

October looked flat and was not. Leadership moved from the largest technology names toward the rest of the market, rates eased for real-yield reasons, and credit widened. The stance did not have a good month, and we have said where it cost us. We hold it because growth is above trend, earnings are rising and the signals that would change our minds have not confirmed.

November has a full calendar. The midterm elections are on November 3, the October jobs report lands on November 6, the October CPI report follows in mid-November and the Fed meets again on December 8 and 9. We will not reposition around any one of those. Credit and earnings are the signals that would move us.

Sources

- Savvy Macro Dashboard (pillar scores and the indicator panel)
- Bloomberg (S&P 500, S&P 500 equal-weight, Nasdaq 100, Philadelphia semiconductor, Russell 2000, MSCI EM and EAFE indices, sector funds, Treasury nominal and real yields and breakeven, ICE BofA high-yield and investment-grade spreads, WTI crude oil, gold, USDJPY and EURUSD, September 30 to October 30 and latest November 2 to 3)
- Bloomberg (investment-grade corporate bond fund total return, October) and Bloomberg S&P 500 third-quarter earnings beat rate through October 29
- Savvy Earnings Update findings (Bloomberg consensus quarterly earnings growth for the S&P 500's seven largest stocks and the other 493, as of mid-October)
- Federal Reserve Board, FOMC statements, September 16 and October 28, 2026
- CME fed funds futures for the priced policy path
- BEA gross domestic product advance estimate for the third quarter and personal income and outlays, BLS CPI and employment situation, ISM manufacturing survey, and Cleveland Fed nowcasts for the open months
- NY Fed Weekly Economic Index and Atlanta Fed GDPNow
- Chicago Fed National Financial Conditions Index and St. Louis Fed Financial Stress Index
- FactSet forward P/E and equity risk premium, Savvy revision breadth from Bloomberg consensus (October 30), and Bloomberg S&P 500 earnings growth, revisions, beat rate and margins through September 30
- IMF PortWatch Strait of Hormuz arrivals and Polymarket normalization odds

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